

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

OCEAN NETWORK EXPRESS (NORTH AMERICA), INC. AND
OCEAN NETWORK EXPRESS, PTE., LTD. - POSSIBLE
VIOLATIONS OF 46 U.S.C. § 41102(C)

DOCKET NO. 21-17

Served: October 28, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

REMAND SCHEDULING ORDER

The Federal Maritime Commission (“Commission”) initiated this proceeding on December 30, 2021, by issuing an Order of Investigation and Hearing (“OIH”) to determine whether Respondents violated section 41102(c) of the Shipping Act by overbroadly defining and applying the definition of merchant in ONE’s bill of lading in such a manner as to unilaterally impose joint and several liability for freight and/or charges on a party with whom ONE was not in contractual privity and who had not consented to be bound by the terms of the bill of lading. OIH at 2. In addition, the Commission ordered the proceeding to be expedited, with an initial decision issued by an Administrative Law Judge within six months of the date of the OIH and the final decision of the Commission issued within ninety days of service of the Initial Decision. OIH at 7-8.

The proceeding was temporarily stayed while the Commission considered a petition seeking reconsideration and rescission, which was denied on January 28, 2022. A motion to dismiss was denied on February 23, 2022. The parties engaged in discovery, with an order granting a motion to individually identify respondents issued on March 28, 2022, and an order on motions to compel and to dismiss issued on May 4, 2022 (“Compel Order”). Briefing deadlines were set but the parties requested multiple extensions while they negotiated the settlement agreement.

On June 23, 2022, the parties filed a joint motion for approval of a proposed confidential settlement agreement. On June 28, 2022, an initial decision approving the settlement agreement was issued. On July 15, 2022, the Commission issued a Notice of Determination to Review. On October 27, 2022, the Commission issued an Order Reversing the Initial Decision and Remanding the proceeding (“Remand Order”).

The Commission ordered that “the ALJ promptly issue a scheduling order setting dates for the parties to submit briefs, findings of fact, and appendices” and set deadlines of January 26, 2023, for the ALJ’s initial decision and April 26, 2023, for the Commission’s decision. Remand Order at 7.

The May 4, 2022, compel order noted that “the discovery period has ended” and stated that “[a]ny additional concerns about discovery may be raised in the parties’ briefs. No additional motions regarding discovery will be permitted as they would exceed the time permitted for resolution of this proceeding.” Compel Order at 4. BOE was compelled to provide discovery as ordered by May 10, 2022. The first request for extension received from the parties related to the settlement was filed on May 20, 2022, so that discovery should have already been provided. However, in an abundance of caution, BOE will be provided additional time to provide any outstanding discovery.

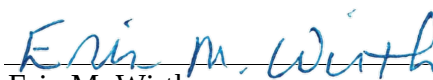
This continues to be an expedited proceeding with a limited time for briefing and preparation of an initial decision. No discovery requests may be issued and no motions regarding discovery will be permitted as they would exceed the time permitted for resolution of this proceeding. Any additional concerns about discovery may be raised in the parties’ briefs. As directed in the Remand Order, the remand scheduling order is being issued promptly.

In their initial briefs, the parties should address, with legal arguments and factual support, the five elements of a section 41102(c) claim found at 46 C.F.R. § 545.4. In the initial briefs, the parties must also propose language for the order, including proposed language for a cease-and-desist order if one is sought. The parties should also provide legal argument and factual support regarding civil penalties, including the factors in Subpart W, specifically 46 C.F.R. § 502.603.

For the reasons outlined above, it is hereby **ORDERED** that the parties follow the schedule below for briefing this proceeding on remand:

Nov. 4, 2022	BOE provide any remaining discovery;
Nov. 29, 2022	BOE and Respondents file initial brief, findings of fact, and appendix;
Dec. 20, 2022	BOE and Respondents file opposition briefs and responses to findings of fact.

It is further **ORDERED** that the parties follow the requirements for briefs set out in the May 4, 2022, compel order and in the January 6, 2022, initial order. The parties are reminded that any filing that does not include page numbers may be rejected and that public versions of confidential filings must have the same information on the same pages.


Erin M. Wirth
Chief Administrative Law Judge